

conditions, the third condition is up for interpretation. Do investors buy into an ICO as an “expectation of profit,” or do they buy into an ICO to gain access to the ultimate utility that will be provided by the blockchain architecture? While the distinction may seem small, it can make all the difference.

A joint effort by Coinbase, Coin Center, ConsenSys, and Union Square Ventures, with the legal assistance of Debevoise & Plimpton LLP, produced a document called, “A Securities Law Framework for Blockchain Tokens.”²⁶ It is especially important for the team behind an ICO to utilize this document in conjunction with a lawyer to determine if a cryptoasset sale falls under SEC jurisdiction. The SEC made it clear in July 2017 that some cryptoassets can be considered securities.²⁷

The document includes a framework for scoring the ICO and identifying its applicability as a security, and thus its consideration in light of the regulations that go along with that classification. Innovative investors may also want to evaluate these criteria on their own in line with what they know about the ICO: if there’s a belief by the investor that the offering should be considered an investment contract and the offering team is moving forward without that assumption, that could be a red flag about the legitimacy of an ICO. The SEC made it clear in July 2017 that some cryptoassets can be considered securities.²⁸

The framework document is also helpful because it includes best practices for an ICO, which provides a good checklist for innovative investors. They are paraphrased below to provide context for what an investor should consider for any potential